

Week 3: Structural Drivers

Lecture 3 of 5: G10 FX

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By the end of today you will be able to

- ✳ Name the five **structural drivers** of a currency over 6 to 12 months
- ✳ Work out a **real** rate gap
- ✳ Explain why a current account surplus does not always support a currency
- ✳ Build a simple **fair value model** and read its residual
- ✳ Make a chart that **backs a claim**

Opening question: **the yen has been one of the cheapest currencies in the world for years. Why hasn't it bounced back?**

Checking your 1 to 3 month box

Common fixes

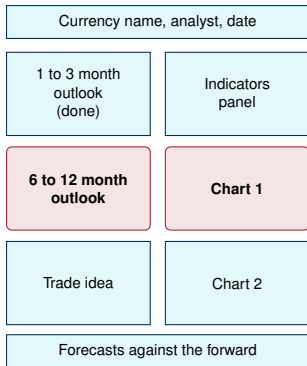
- ✳ **Describe or forecast?** “The yen fell this week” is news, not a view
- ✳ **Both sides of the pair:** your view must include the dollar
- ✳ **Direction:** bullish yen means USD/JPY **falls**
- ✳ **Evidence:** every claim needs a number, a source and a date

The four questions

1. What is priced?
2. What is our view?
3. Where do we disagree?
4. What would change our mind?

Today we use the same four questions for the **6 to 12 month** box.

Where today fits on the page



- ✶ Last week: **expectations**. What is priced, and where is the surprise?
- ✶ This week: **fundamentals**. What pulls the currency over a year?
- ✶ Today fills the **6 to 12 month outlook** and your **first chart** (in red)

Over three months, markets move on surprises. Over a year, they move on fundamentals.

Five structural drivers

Driver	The question it answers	What to chart
Policy cycle and real rates	Where do rates end up, after inflation?	Real 2 year spread
Terms of trade	Are the country's exports getting more valuable than its imports?	Commodity prices
Balance of payments	Does money flow into the currency, or out of it?	Current account
Valuation	Is the currency cheap or expensive against fair value?	Real effective rate
The global dollar cycle	Is the backdrop for the dollar itself supportive?	Dollar index (DXY)

Running example: **USD/JPY**, the same pair as last week, over a longer horizon.

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1. The policy cycle and real rates

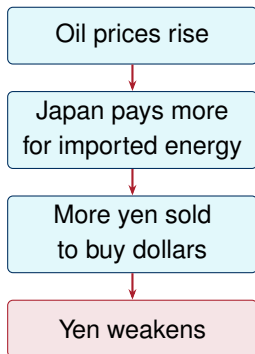
real rate $\approx$ nominal rate — inflation

	Policy rate	CPI (Aug)	Real
US	3.875%	3.4%	+0.5%
Japan	1.25%	1.9%	−0.65%
Gap			−1.1 pts

Fed range midpoint; headline CPI. Sources: Federal Reserve, BLS, Statistics Bureau of Japan.

- ✳ Over a year, the **real** return matters more than the nominal one
- ✳ Japan's real rate is still **negative**: holding yen loses purchasing power
- ✳ Over 6 to 12 months, ask **where each cycle ends**: is the Fed near its peak? How far will the BoJ go?

2. Terms of trade



- ✦ **Terms of trade:** export prices relative to import prices
- ✦ Commodity exporters gain when prices rise: CAD, NOK (oil), AUD (metals)
- ✦ Japan imports almost all its energy: the **opposite**
- ✦ Oil and a weak yen were behind the BoJ's September hike

Rule: know whether your country **sells or buys** commodities.

3. Balance of payments

The current account

- ✳ Trade in goods and services
- ✳ Plus **income** earned on investments abroad
- ✳ A **surplus** usually means money flowing **into** the currency

Japan: a record surplus

¥34.5 trillion in the year to March 2026, a record for the third year running

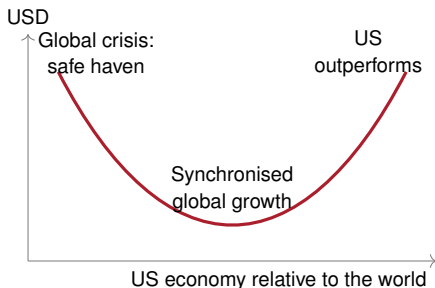
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So why no yen support?

- ✳ Most of the surplus is **income from overseas investments**, not trade
- ✳ Much of that income is **reinvested abroad**, never converted into yen
- ✳ Japanese investors keep buying foreign assets

Lesson: look at **what the surplus is made of**, not just its size.

4. The global dollar cycle



- ✦ The **dollar smile**: USD is strong at both ends, weak in the middle
- ✦ Every pair we trade has the dollar on one side
- ✦ So the **house USD view** sets the backdrop for every page

Ask: which part of the smile are we in, and is it changing?

5. Valuation: is the yen cheap?

Purchasing power parity (PPP)

- ✳ Over the long run, the same basket of goods should cost the same everywhere
- ✳ If it is much cheaper in Japan, the yen is **undervalued**

Real effective exchange rate (REER)

- ✳ The yen against all trading partners, adjusted for inflation

The yen's REER (2020 = 100)

December 1986: **141.8**

May 2026: **65.9**, a record low

Sources: Bank of Japan, BIS

So the yen **is** very cheap. But valuation pulls **slowly**: over years, not months.

A simple fair value model

Explain the exchange rate with what drives it:

$$\text{USD/JPY}_t = a + b \times \text{spread}_t + \varepsilon_t$$

✳ spread_t : US 2 year yield minus Japan 2 year yield

✳ $a + b \times \text{spread}_t$: the **fair value**

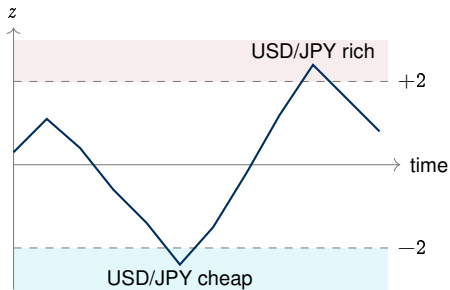
✳ ε_t : the **residual**, actual minus fair value

Build it in a spreadsheet

1. Weekly USD/JPY and the spread, 2 years
2. =SLOPE() gives b , =INTERCEPT() gives a
3. Fair value = $a + b \times \text{spread}$
4. Residual = actual – fair value
5. $z = \text{residual} \div \text{STDEV}(\text{residuals})$

Extension: add oil with =LINEST()

Reading the residual



Schematic, not real data

- ✳ $z > +2$: USD/JPY **rich** against rates; the yen is too weak
- ✳ $z < -2$: USD/JPY **cheap**; the yen is too strong
- ✳ Stretched residuals tend to **close**, but slowly

Quick check: USD/JPY is 158, fair value is 154 and the residual standard deviation is 2. What is z ? (Answer: +2, stretched)

What the model can and cannot do

It can

- ✳ Show whether the pair is **rich or cheap against rates**
- ✳ Separate the rate story from everything else
- ✳ Give a number to put in your outlook box

It cannot

- ✳ Tell you **when** the gap closes
- ✳ Stay stable: a and b drift over time
- ✳ Capture drivers it leaves out, such as intervention or risk sentiment

A model is **evidence**, not a verdict. Use it alongside the other four drivers.

Charts that back a claim

Four rules

1. **One message** per chart
2. The **title is the claim**: “Rate spreads point to a lower USD/JPY”
3. Label the **source and date**
4. Show enough history to see the pattern, usually 1 to 2 years

Weak title

USD/JPY and the 2 year spread

Strong title

USD/JPY has run **ahead** of the rate spread since July

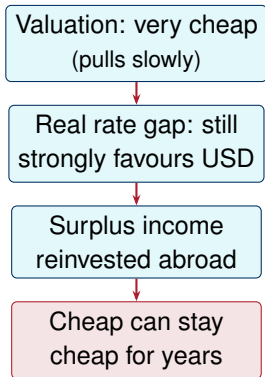
Every chart on the page must back a sentence in your text.

Two charts to build on TradingView

Chart	How to build it
Pair against the spread	Open your pair. Add a comparison symbol: TVC:US02Y-TVC:JP02Y. Put it on its own scale. Do they move together?
Pair against a driver	Compare your pair with the key structural driver: oil for CAD and JPY, iron ore or copper for AUD, DXY for the dollar backdrop

- ✂ Spread written as **US minus foreign** moves in the same direction as USD/JPY
- ✂ For EUR/USD, GBP/USD and AUD/USD, use **foreign minus US** instead
- ✂ Where the lines **separate** is where your story is

So why hasn't the yen bounced back?



Today's ideas, in one example:

1. Valuation tells you **where**, not **when**
2. **Real** rates beat nominal rates over a year
3. Look at **what a surplus is made of**
4. The catalyst is the **real rate gap narrowing**

Cheap is a reason to watch, not a reason to buy.

A 6 to 12 month outlook box

USD/JPY, 6 to 12 months: every claim needs evidence

teaching example

Question	Claim	Evidence
1 What is priced?	A slow BoJ; a Fed that peaks near its projections	39% chance of a BoJ hike by December; Fed projects 4.1% to 4.4% (check 1 year OIS)
2 Our view	USD/JPY lower , gradually, as the rate gap narrows	BoJ keeps normalising, Fed stops at its peak; yen cheap (REER 65.9, record low)
3 Where we disagree	Markets price a slower BoJ than wages justify over a year	Wage deals above 5% for a third year; Japan CPI 1.9%, close to target
4 What changes our mind	Japan CPI well below 2%, or the Fed hikes beyond projections	Keeps the gap wide; an oil spike also hurts Japan

Last week's 1 to 3 month view was **higher**. Both can be right (next slide).

Putting both horizons together

	Trade: long yen (short USD/JPY)	
	Tactical: supportive	Tactical: against
Structural: for	Trade full size	Wait for a better entry
Structural: against	Small and short dated	No trade

Short yen? Long yen?

- ✦ **Structural** (6 to 12 months): yen higher
- ✦ **Tactical** (1 to 3 months): yen lower for now
- ✦ So: **wait**. Look for a catalyst, such as a softer Fed or a firmer BoJ, before buying yen

The two boxes together tell us **direction and timing**.

Exercise: your 6 to 12 month outlook and one chart

Step 1: gather (shared data sheet)

- ✂ Real rate gap against the US
- ✂ Your country's terms of trade driver
- ✂ Current account: size, and what it is made of
- ✂ Valuation: REER or your fair value model

Step 2: write and chart

Your **6 to 12 month** outlook box, about 100 words, answering the four questions. Plus **one chart** whose title is your main claim.

Check that it fits with your 1 to 3 month box: same direction, or a reason to wait?

Cheat sheet: structural drivers by currency

Pair	Key structural drivers	Where to find the data
EUR/USD	ECB against Fed cycle; Eurozone growth; energy imports	ECB, Eurostat; TradingView
USD/JPY	BoJ normalisation; real rates; oil (importer); outflows	BoJ, Ministry of Finance; BIS REER
GBP/USD	BoE cycle; services inflation; current account deficit	BoE, ONS
USD/CHF	Safe haven demand; SNB policy; very low inflation	SNB, Swiss FSO
USD/CAD	Oil prices; US trade ties; BoC cycle	BoC, Statistics Canada; WTI
AUD/USD	Iron ore and copper; China growth; RBA cycle	RBA, ABS; TradingView commodities

REER for every currency: BIS effective exchange rates, also on FRED (St Louis Fed).